Themes and Trade Ideas

Fixed Income

February 24, 2026

itaú BBA

Quick Take on FS's 3Q26 Results

FS Indústria de Biocombustíveis
Moody's: Ba3 (Negative)
S&P: N.R.
Fitch: BB- (Stable)

In this note we provide a brief overview of FS's 3Q26 (October through December of 2025, according to the agricultural calendar) credit metrics, operational performance and our bond view for the company.

- **The results.** FS delivered a very strong quarter. Net revenue increased 25.1% YoY to BRL 3.6 billion, while EBITDA rose 40.1% YoY to BRL 1.0 billion, implying an EBITDA margin of 28.5% (+3.0 p.p. YoY). The improvement reflects higher ethanol and corn oil prices, increased volumes across industrial segments, better crush spreads, and improved marketing results. Leverage remained relatively flat QoQ, with net debt/EBITDA reaching 2.8x, as the strong LTM EBITDA growth was offset by the net debt increase due to heavy capex and dividend distributions.
- **Bond view.** FSBIOE bonds have presented one of the weakest performances among similarly tenured cyclical Brazilian high yield corporate bonds in February. FSBIOE '31, '33 and '36 have presented z-spread widenings ranging from 77 to 97 bps month to date. The performance is likely influenced by the investors' aversion to issuers with higher leverage, following the news of another Brazilian company hiring financial advisors to look for alternatives for its capital structure. In the case of FS, even though net leverage remains under control at present, the prospect of a leverage increase after the announcement of the construction of the fourth plant in Campo Novo dos Parecis.
- For more details on credit metrics and operational performance, see the analysis below.

Credit Metrics

BRL mm	3Q25	4Q25	1Q26	2Q26	3Q26	YoY	QoQ
Net Revenues	2,909	3,063	2,735	3,459	3,640	25.1%	5.2%
EBITDA	740	808	644	957	1,037	40.1%	8.3%
EBITDA Margin	25.4%	26.4%	23.5%	27.7%	28.5%	3.0 p.p.	0.8 p.p.
Free Cash Flow (ex-restricted cash)	-306	799	114	-1,440	168	-	-
Gross Debt	10,077	9,330	11,287	11,197	11,719	16.3%	4.7%
Cash and Equivalents	2,163	2,530	4,555	2,701	2,206	2.0%	-18.3%
Net Debt	7,914	6,800	6,732	8,496	9,513	20.2%	12.0%
Net leverage	4.0x	2.5x	2.3x	2.7x	2.8x	-1.3x	0.1x
Cash / Short-term Debt	2.0x	2.6x	5.5x	4.2x	1.8x	-0.2x	-2.4x

Source: Company, Itaú BBA.

Our FCF is calculated as: i) (+/-) net income adjusted for non-cash items; ii) (+/-) variation of assets and liabilities; iii) (-) interest expenses; iv) (-) income tax payments; and v) (-) capex.

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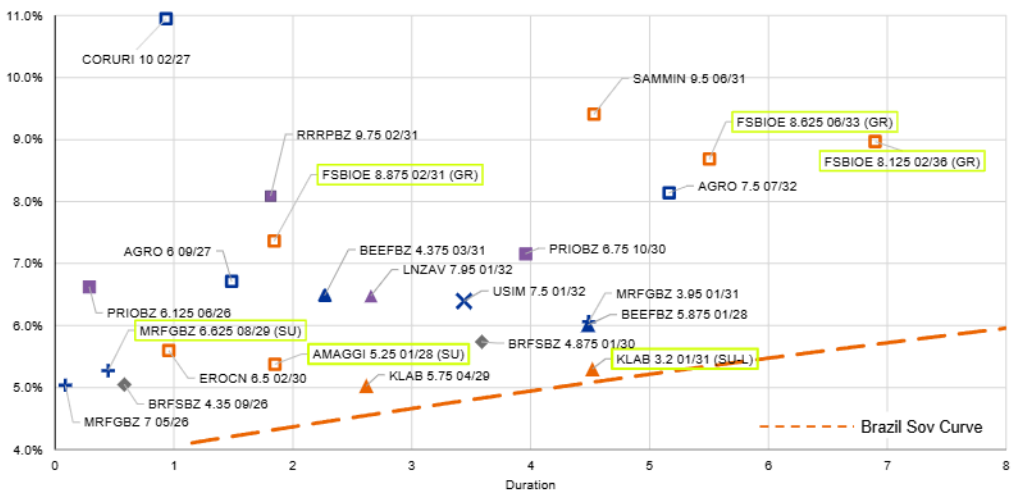
Yield (YTW, %) vs. Duration – High Yield Cyclical Brazilian Corporate Bonds



Source: Bloomberg, Itaú BBA. (*) The labels marked in green correspond to ESG bonds.

Operating Performance

The ethanol segment delivered a strong performance in 3Q26, with net revenue rising 25.0% YoY to BRL 2.1 billion, driven by both higher prices and volumes. Ethanol sales volumes increased 10.5% YoY, supported by higher industrial utilization and productivity gains, while the average net ethanol price rose 13.2% YoY to BRL 2.995/liter. The sales mix shifted materially toward anhydrous ethanol, which accounted for 74.7% of volumes (+17.3 p.p. YoY), benefiting from favorable gasoline parity and demand conditions. Margin expansion was significant at the consolidated level, reflecting a recovery in crush spreads and improved operating leverage, more than offsetting higher corn and biomass costs.

The animal nutrition business also posted solid growth, with net revenue up 13.8% YoY to BRL 482.9m. Performance was supported by higher production volumes, improved pricing for high-fiber DDG and wetcake, and a sharp increase in corn oil revenues (+45.1% YoY), reflecting both higher prices and volumes as well as export premiums. While high-protein DDG revenues declined slightly due to pricing pressure, the overall product mix improved. Importantly, the coverage ratio increased to 43.9% (+0.8 p.p. YoY), indicating better cost absorption and improved integration with corn procurement dynamics.

Marketing segments were key earnings highlight in 3Q26. Net revenue increased 33.5% YoY to BRL 658 million, driven primarily by corn marketing, where revenues more than doubled (+109.6% YoY) due to significantly higher trade volumes. Gross margins in marketing improved meaningfully, turning positive at 4.4% versus -0.2% in 3Q25, reflecting better spreads and scale dilution of costs. Ethanol and energy marketing revenues also increased, although margin contribution remained secondary relative to corn trading.

FS reported very strong investment activity in the quarter, with total capex of BRL 816 million, almost allocated to growth projects. The main drivers were (i) the construction of the fourth plant in Campo Novo dos Parecis (CNP Plant), (ii) debottlenecking initiatives across existing plants, and (iii) continued investments in the BECCS project at the Lucas do Rio Verde plant, with CO_2 injection expected to start in August 2026. Management highlighted that debottlenecking projects were completed ahead of schedule and below budget, while the CNP Plant remains on time and on budget, with start-up expected in December 2026.

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